ASK GREG ABOUT ANNUITIES · FREE CHECKLIST

5 questions to ask before you buy any annuity

Whether you're talking with me or anyone else, these questions get to the facts quickly. If the answers aren't clear, that tells you something too.

1

“What happens if I need my money early?”

Ask for the surrender schedule, year by year, and how much you can take out each year without a charge. Make sure the surrender period fits when you might need the money.

Get the schedule in writing. If no one can show it to you, walk away.

2

“What's guaranteed, and what's only possible?”

Illustrations usually show a guaranteed column and a projected column. Ask which numbers are contractual and which are assumptions.

Base your decision on the guaranteed numbers.

3

“What does it cost every year?”

Fixed annuities often have no annual fee. Riders and some features do. Ask for every fee in dollars, based on your amount, and what you get for it.

Ask: “What would I pay in dollars this year?”

Notes from my conversation

Continued on the next page →

5 QUESTIONS, CONTINUED

4 **"If there's a bonus, what am I giving up for it?"**

Bonuses usually come with longer surrender periods, lower caps or a vesting schedule. Ask how the same contract looks without the bonus.

Compare the bonus version to the no-bonus version side by side.

5 **"How strong is the insurance company?"**

An annuity's guarantees depend on the insurer's ability to pay. Ask for its ratings from A.M. Best or S&P, and how long it has been in business.

Look for an A rating or better.

Bonus question: "Why is this better for me than leaving my money where it is?"

A good advisor should be able to answer that in plain English, with your numbers.



Want a second opinion on an offer? Send me the illustration, or book a free call of up to 30 minutes. I'll walk through it with you, no pressure.

askgregaboutannuities.com/book · 512.764.0723

Notes from my conversation

Greg Stevens, independent licensed financial professional, Austin, Texas. TX license #1291485 · NPN 8230713. General information only, not a recommendation to buy any specific product and not tax or legal advice. Annuity guarantees are backed by the financial strength and claims-paying ability of the issuing insurance company. Withdrawals above the contract's free amount during the surrender period may be subject to surrender charges, and withdrawals before age 59½ may be subject to a 10% IRS penalty.